

How to alleviate BEPS 2.0 Pillar Two data challenges

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Specific technologies and approaches can help overcome key data challenges associated with BEPS 2.0 Pillar Two GloBE Rules compliance.

In brief

- Leveraging advanced data aggregation and calculation tools is crucial for accurate and compliant BEPS 2.0 Pillar Two GloBE reporting.
 - Establishing secure, standardized and accessible data processes is essential before integrating AI and automation in tax compliance.
 - Addressing regulatory divergence and ensuring high data quality and consistency across multiple ERP systems are key to overcoming BEPS 2.0 data challenges.
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The BEPS 2.0 Pillar Two Global Anti-Base Erosion (GloBE) Rules are ushering in a new era of tax reporting transparency and complexity for affected multinational companies.

Many tax functions, which are still highly reliant on manual processes, may be ill-equipped to process the volume of data required for GloBE compliance in a swift, reliable, cost effective and sustainable way. Beyond GloBE tax compliance, tax functions also must prepare for future GloBE tax controversy which will require coordinated data management and communications.

Addressing BEPS 2.0 Pillar Two data challenges

The GloBE Rules require calculating top-up tax at a jurisdictional level, which involves aggregating financial data from separate entities within each jurisdiction. The jurisdictional level calculations are a substantial change from traditional single entity income tax calculations in most jurisdictions. Implementing robust data aggregation tools can streamline this process, facilitating the consolidation of financial data across multiple entities.

Calculating the GloBE effective tax rate (ETR) by jurisdiction involves determining “Adjusted Covered Taxes” which includes current and deferred tax expenses subject to GloBE-specific adjustments. Advanced tax calculation software can automate the GloBE ETR computation and documentation processes, reducing the risk of errors and allowing tax functions to manage the complexity of these calculations efficiently.

The **Transitional CbCR Safe Harbor** (TCSH) offers temporary relief from detailed GloBE calculations and disclosures. To qualify for TCSH, companies must demonstrate a jurisdiction has either revenue and profit below de minimis thresholds, an ETR above a minimum threshold or profits below the substance-based income exclusion threshold. Additionally, companies must prepare TCSH calculations and disclosures based on qualified financial information, which for some companies may not be available across all jurisdictions.

“Given the existing Transitional CbCR Safe Harbor is temporary, companies relying on TCSH nonetheless should prepare now for full GloBE calculations,” says Brian Foley, EY Global Tax Accounting and Risk Advisory Services Leader. “Companies should leverage data management technologies to standardize financial information across jurisdictions, ensuring readiness for the post-TCSH period.”

Ensuring data completeness, consistency and accessibility

The GloBE Rules rely on complete and accurate financial data for each constituent entity and timely access to this data. To address these requirements, businesses need:

Completeness and accuracy

Utilize data cleansing and validation tools to ensure financial information is complete and accurate. Among other things, these tools can identify transactional irregularities and assess intercompany transactions and topside adjustments to mitigate errors and improve integrity of financial data.

Common and complete data set

Establish a unified and complete data framework to standardize financial information across business units, jurisdictions and entities. A complete and unified data framework involves aligning multiple enterprise resource planning (ERP) systems and creating a consistent reporting package at a level of detail necessary to enable tax calculations and disclosures. Even if companies are already using Enterprise Performance Management (EPM) and Corporate Performance Management (CPM) tools to aggregate data from multiple sources, additional complexities could arise.

Accessibility

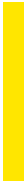
Implement centralized data repositories and update tax provision reporting processes to ensure timely access to relevant financial data. Addressing data access challenges, including those posed by data privacy and security rules, is crucial for maintaining data integrity and accessibility.

The growing role of Artificial Intelligence (AI)

While automation and AI hold great potential for tax compliance and reporting, their implementation should follow the establishment of secure and reliable data processes. Initially, companies need to focus on securing accurate data collection and reporting through well-defined processes and controls. Once these foundations are in place, automation and AI can be leveraged to enhance efficiency and accuracy in tax compliance and reporting. “Automation of financial processes is only effective with trustworthy data inputs,” advises Thomas Nesme, Partner, Financial Accounting Advisory Services, EY & Associés.

Modern technologies play a crucial role in streamlining data collection for tax compliance. Advanced extraction capabilities from ERP and financial systems reduce errors and reliance on manual data input. Technologies such as smart questionnaires convert unstructured data into structured formats, maintaining audit trails and consolidating data on a single platform. This data management approach replaces the chaotic management of data through emails and other disconnected platforms, ensuring organized and accessible data management.

“We can fix structural data issues like mis-formatted columns or missing currency fields with AI, but intrinsic issues like truncated descriptions require tedious follow-up or correction at source,” says Charles Brayne, EY Global Tax Platform Product Management Leader.



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John Farrelly

Global Compliance & Reporting, Technology Leader

Intrinsic data quality issues, like incomplete descriptions or incorrect entries, still most often require human intervention to resolve. AI can quickly identify these issues, but manual review and correction are necessary to ensure data reliability and accuracy. Balancing AI and human oversight can optimize efficiency of data management for tax calculations.

AI has become a major driver of data standards and quality in finance and tax functions. To fully leverage AI's capabilities, organizations must have quality source data, consistent data standards and strong data processes. The explosion of generative AI (GenAI) has put a spotlight on these requirements, pushing organizations to undertake data remediation projects to improve data quality and standards.

“AI drives the need for data standards, since confidence in the underlying data is essential to unlocking the value that AI can deliver,” says John Farrelly, EY Global Compliance & Reporting, Technology Leader.

Defining and adopting data standards is crucial for effective BEPS compliance and reporting. Companies need to establish common data sets and naming conventions, involving mapping data from various ERP systems to these standards. AI can assist in this mapping process, but the transition to standardized data practices is a long-term endeavor requiring governance, oversight and adaptability, Farrelly says.

Managing legislative divergence

Differences exist in the timing and approach in which the GloBE Rules are legislated across different jurisdictions, creating an additional layer of complexity for companies. Beyond legislative differences, countries may approach enforcement differently, making the implementation of global minimum taxes more challenging. Therefore, understanding and implementing the evolving rules requires a deep understanding of the GloBE Rules as agreed and the specific tax laws of each jurisdiction in which a company operates. Incorporating jurisdiction-specific rules into technology calculations facilitates compliance with the local requirements, but ambiguities in tax laws require professional judgment to determine appropriate GloBE calculations and disclosures.

“The consensus on global minimum tax rules is often very high level. When it comes to implementation, local country interests and tax policy considerations often prevail over global harmonization. It is critical that deep tax expertise, tax processes and technology come together when implementing GloBE reporting and compliance in an MNE,” says Daniel Gentsch, EY Global International Tax and Transaction Services Deputy Leader.

The challenges and opportunities in BEPS 2.0 Pillar Two data reporting

Data accessibility, especially for details of current and deferred tax expense stored in decentralized systems (or spreadsheet files), is a common issue for global minimum tax calculations. Understanding an organization’s data landscape is crucial. Identifying where data resides and automating its extraction into a central repository can streamline the process. Although tools exist to aid in data consolidation, maintaining accurate and updated data requires continuous effort, including proper data governance and monitoring changes in the systems where data is stored. Brayne emphasizes, “Understanding the data landscape and where all required data resides in the organization is crucial for data accessibility.”

The quality of input data is paramount for effective Pillar Two GloBE compliance and reporting. Companies should implement solid processes and controls to ensure data reliability. Organizations should prepare in advance for future compliance requirements, which will become more stringent by 2026. While tax provision and forecasting processes might be manageable with basic tools, compliance will demand more robust solutions.

Implementing data standards and structures for GloBE reporting offers broader benefits, such as improved tax and finance management. High-quality, consistent data provides better insights into optimizing legal structures and business operation and drives efficiency in reporting and compliance activities beyond BEPS 2.0 Pillar Two requirements. “Operating multiple ERP systems due to acquisitions and mergers further complicates data consistency,” Farrelly notes. “Even within the same ERP framework, data recording practices can vary significantly. Tools are available to help standardize and harmonize data.”

“By addressing these data challenges with advanced technology, multinational companies can streamline their compliance efforts, reduce the risk of tax controversy and enhance their overall tax reporting transparency.”

Brian Foley

EY Global Tax Accounting and Risk Advisory Services Leader

An action plan

BEPS 2.0 Pillar Two is a fundamental change to how global companies are taxed. The new tax regime introduces significant tax reporting and compliance obligations. Companies are facing practical challenges not encountered before, which will require implementation of new processes and technology to manage.

While there are no one-size-fits-all technology solutions for BEPS 2.0 Pillar Two, tax leaders should determine how best to use technology to enable their tax functions. Prompt action not only will help achieve compliance with the global minimum tax but also can provide forward-thinking multinationals with a strategic advantage in other areas of reporting, such as environmental, social and governance (ESG), transfer pricing and Country-by-Country Reporting (CbCR).

Effective global minimum tax compliance and reporting requires a comprehensive review of existing data, systems, processes and personnel. Companies should ensure their chosen technology solutions are secure, reliable and capable of maintaining calculation integrity. Reviewing and updating the record-to-report process for all global minimum tax reporting dimensions – including business planning and forecasting, estimated tax payments, interim reporting, year-end group and statutory reporting, compliance and controversy – is essential to ensure readiness.

“By addressing these data challenges with appropriate process and technology, multinational companies can streamline their compliance efforts, mitigate tax controversy risks and enhance their overall tax reporting efficiencies,” Foley says. “Embracing technology solutions will enable organizations to navigate the complexities of global minimum taxes with confidence, resulting in sustainable and compliant tax reporting practices.”

Summary

Achieving BEPS 2.0 Pillar Two GloBE compliance requires advanced data aggregation tools, standardized data processes and the strategic use of AI and automation. Effective data management and regulatory understanding are key to reducing tax controversies and ensuring accurate reporting across multiple jurisdictions.

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